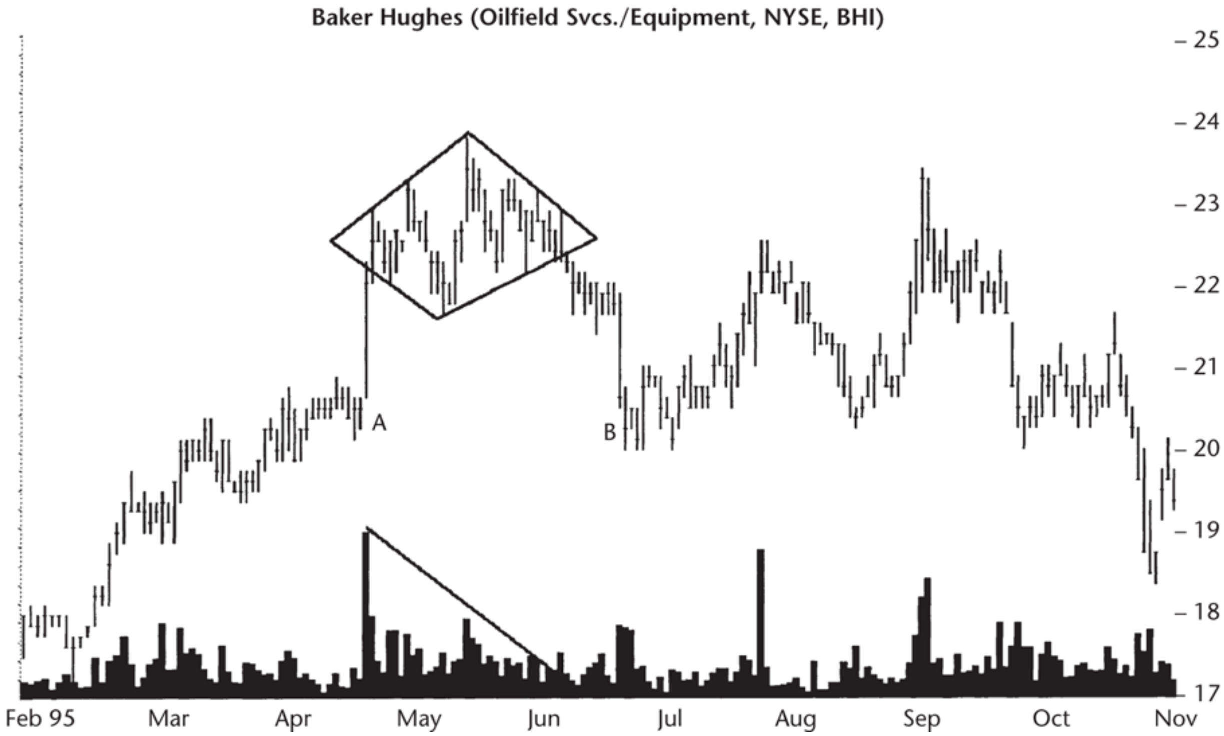

Figure 24.1 A good example of a diamond top. Notice that price quickly returned to the $20 level.

I want to emphasize the return to the launch price in this figure. Notice the strong upward move at A. Price zips skyward on high volume. After the diamond top completes, the stock drops. Often the drop isn't as fast as the rise. Indeed, price may move sideways for a time. In some cases, certainly not all and I don't have a good number for you as an estimate of how often this occurs, price returns to stop just above the launch price. By that, I mean point B will bottom just above the price of point A.

In this case, that doesn't happen. Price meets A at B and the drop from the diamond to B doesn't take long, either. In many cases, you may see price move up strongly at A, but a downward breakout won't return price to A or even slightly above it. The stock just doesn't make it back down. However, this idea of returning to the launch price makes for setting a price target easier. It won't always work, but you have an idea of how far price might drop.